Gaming

Spooky Spins & Big Wins

In this note, we provide a preview of the upcoming result for Light & Wonder (LNW), as well as provide an update on various industry datasets.

Aristocrat (Positive, $74.43/sh valuation)

Reporting in November

Aristocrat remains the go-to supplier of premium content in a market that continues to skew towards VIP players. Phoenix Link has been the most incremental premium lease game over the past 12-months and the Baron Cabinet is the most in-demand hardware on the market. However, the market is largely aware of this and the reason we are most bullish on Aristocrat at the moment is because of a new game that has gone under the radar called Spooky Link. Our industry feedback around the game has been very strong and the available Eilers data backs this up. Of all the games launched recently, Spooky Link most resembles Phoenix Link in terms of performance & scale. Therefore, we believe that Aristocrat could have a sneaky top-5 caliber franchise on their hands.

Light & Wonder (Positive, $247/sh valuation)

Reporting Date: Thursday 7th August, 6:30am AEST (Link)

Light and Wonder is also performing well in all the Eilers surveys, but their strength recently has been the breadth of new games rather than having individual market leaders. This is a testament to their strategy to pivot towards R&D investment that is now generating consistent quality games. Heading into the 2Q25 result, we sit below consensus but mainly due to forecasting lower outright sales. These can be quite lumpy and often non-reflective of the true performance of the business.

We continue to closely monitor the ongoing Dragon Train litigation. We expect the next minor event to be a ruling on whether the discovery deadline should be extended. Otherwise, there is still a reasonable amount of discovery to go to fully understand if there remains any further contagion risk beyond the games that have already been named.

We also transfer primary coverage of Aristocrat & LNW to Sam Bradshaw, while Paul Mason will retain secondary coverage responsibilities.

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Dragon Train Litigation Update

Below we briefly summarise some recent events/filings in the ongoing Dragon Train litigation.

Second Amended Stipulated Discovery Plan and Scheduling Order - 2nd May 2025

Both parties had previously submitted a joint application for a ~3-month extension of the discovery deadline. The judge granted this proposal.

Stipulation Regarding Discovery Dispute by Plaintiffs Aristocrat Technologies - 30th May 2025

The two parties were unable to agree on various elements of the discovery process.

- The most important thing was that Aristocrat was requesting the final math form for all Hold n Spin games developed since June 2021.
- Aristocrat argues that evidence obtained throughout discovery showed that their trade secrets had spread to other LNW game studios.
- LNW argued that it offered to produce math where evidence reasonably links games to Aristocrat secrets and that Aristocrat's request was too broad.
- They also maintained their ongoing argument that Aristocrat had insufficiently defined their trade secrets and should not be able to mold their trade secrets into whatever they find in discovery.

Judge's Ruling on Multiple Matters - 23rd June 2025

The judge ruled on multiple ongoing matters that the parties could agree on. The hearing was sealed, and as such, we only know the outcomes of the ruling and not the full context behind the rulings.

- LNW was not (at this time) compelled to hand over the game math for all Hold n Spin games since June 2021.
- Aristocrat was required to more specifically define their trade secrets.
- Aristocrat's motion for various documents relating to Emma Charles was denied. Their request for commercialisation documents of Dragon Train and Jewel of the Dragon in Australia was granted.

Aristocrat's Motion to Extend Discovery - 15th July 2025

Aristocrat is seeking to extend discovery by 10 weeks. LNW opposes any extension of discovery.

- Aristocrat argue they have not completed enough of the discovery to properly conduct depositions.
- Aristocrat also argues that LNW has stalled on their document production.
- Aristocrat is still seeking math files for a narrower set of games.
- Aristocrat produced supplemental trade secret identification, which LNW rejected as inadequate.

Exhibit 1 - Aristocrats Proposed Case Schedule

Appendix A

Aristocrat's Proposed Modified Schedule

Deadline	Current Date	Proposed Date
Close of fact discovery	September 29, 2025	December 15, 2025 (approximately nineteen (19) months from date of the LR 26(f) conference)
Deadline for disclosures concerning burden of proof experts	October 31, 2025	January 16, 2026 (approximately two (2) months before expert discovery deadline)
Deadline for disclosures of rebuttal experts	December 5, 2025	February 17, 2026 (approximately one (1) month before expert discovery deadline)
Close of expert discovery	January 16, 2026	March 16, 2026 (approximately twenty-two (22) months from date of LR 26(f) conference)
Deadline for filing dispositive motions	February 17, 2026	April 15, 2026 (approximately one (1) month after the expert discovery deadline)
Deadline for filing joint pretrial order (which shall include the disclosures required pursuant to Fed. R. Civ. P. 26(a)(3), and any objections thereto)[8]	March 13, 2026	May 15, 2026 (approximately one (1) month after the deadline for filing dispositive motions)

Source: Nevada District Court

Proposed Stipulated Order Regarding Preliminary Injunction - 17th July 2025

Both parties jointly submit a proposal that Jewel of the Dragon be treated in the same manner that Dragon Train was following the Preliminary Injunction ruling.

LNW Response to Aristocrat's Motion to Extend Discovery - 29th July 2025

LNW responds to Aristocrats motion to extend discovery.

- LNW argues that an extension would cause unfair prejudice to LNW, given that the ongoing injunction affects the commercialisation of the impacted games.
- LNW also provides counterarguments to Aristocrat's claim that LNW was stalling on discovery by arguing that it is Aristocrat who is strategically delaying discovery.
- LNW requests that if an extension is granted, a compromise of a one-month extension should be reached.

- A LNW game called Lion Link has been mentioned by Aristocrat based on various discovery. Aristocrat do not have the math file for this game and there is no smoking gun at this stage. The game is a core/outright sales game with 1,158 slots in the latest Eilers survey (usually double to estimate the entire market) and performs 1.54x vs zone.

Key Franchises Performance

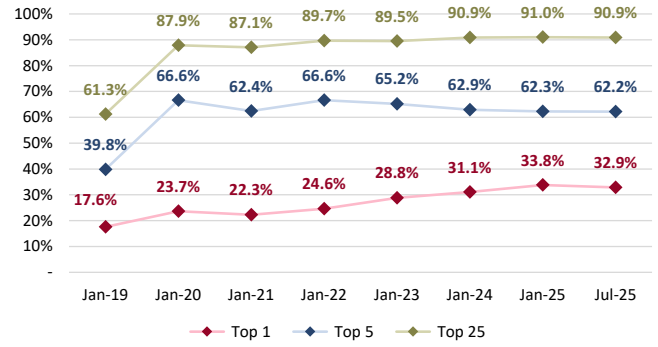
We have previously written about how the premium lease market share is becoming more concentrated among fewer and fewer franchises. Part of this is the incredible success of Dragon Link, but it also looks like casinos have been gradually becoming less fearful of concentration and more focused on optimising slot spend.

This concentration means that events around either actual or potential hit games are becoming increasingly important. Although both Aristocrat and LNW are portfolio companies with lots of studios putting out lots of quality games, prospects around net-adds look like they are becoming more anchored to the trajectory of a smaller number of franchises than ever before. In fact, from Jan-19 until Oct-24, the same five games were featured as the top-grossing franchises.

This shift has led to the following trends within the industry:

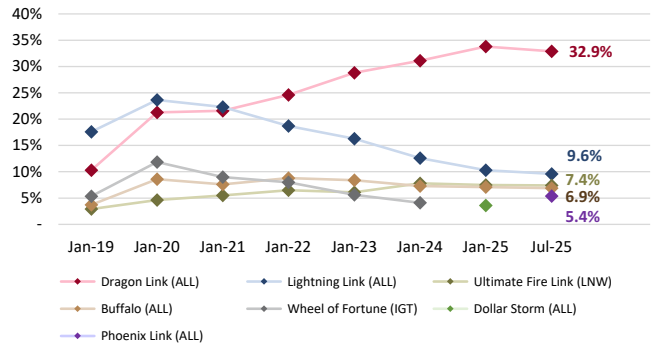
- Fast Following - Given the success of key franchises (in particular Dragon Link), other suppliers have created similar content. Dragon-themed games and Hold n Spin games have both become significantly more prevalent. Casinos have noted a lack of original content while recognising their purchase intentions will likely continue to be driven by performance.
- Extensions of Existing Brands - Suppliers are finding greater success in extending successful franchises rather than taking a swing at a new franchise.
- Less IP Brands - IP content made up a much greater proportion of the top-grossing Premium Lease & WAP franchises pre-covid. Notable IP franchises on the top 25 parent games were: Wheel of Fortune, Monopoly, Willy Wonka, James Bond, The Walking Dead, Tarzan, Fort Knox, Harley-Davidson & The Simpsons.

Exhibit 2 - Top Premium Lease & WAP Franchises based on Net Win - Market Fragmentation



Source: Eilers & Krejcik, E&P Estimates

Exhibit 3 - Top 5 Premium Lease & WAP Franchises based on Net Win

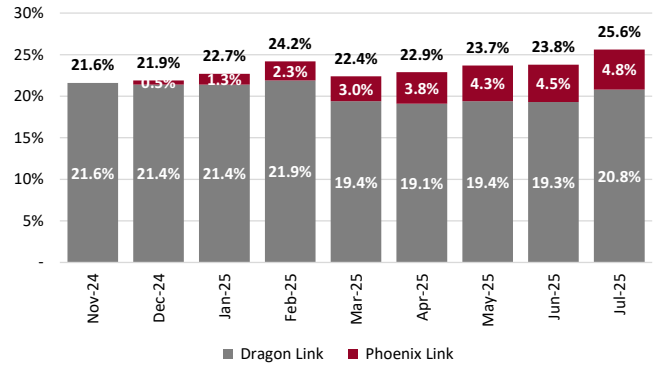


Source: Eilers & Krejcik, E&P Estimates

In the chart above, we show that the new franchise that cracked the top-5 was Phoenix Link. In the last three slot surveys, the most anticipated game by a long margin was Phoenix Link. Its initial performance made some parts of the market and industry think that Phoenix Link may become Aristocrat's next generational game. By its second month however, it became apparent based on game performance that Phoenix Link was a strong game, but it would not take Dragon Link's crown.

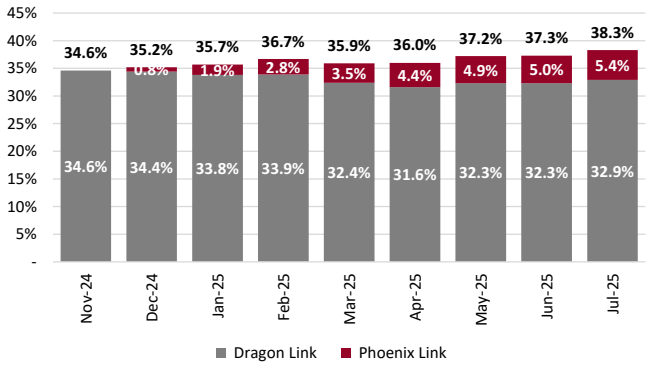
The other main question was how incremental Phoenix Link would be for Aristocrat. Below we have looked at the cumulative performance of the Dragon Link and Phoenix Link franchises. While there may be some cannibalisation, Phoenix Link appears to have been incrementally positive for Aristocrat.

Exhibit 4 - % of Total Units - Premium Lease & WAP



Source: Eilers & Krejcik, E&P Estimates

Exhibit 5 - % of Theo Win - Premium Lease & WAP

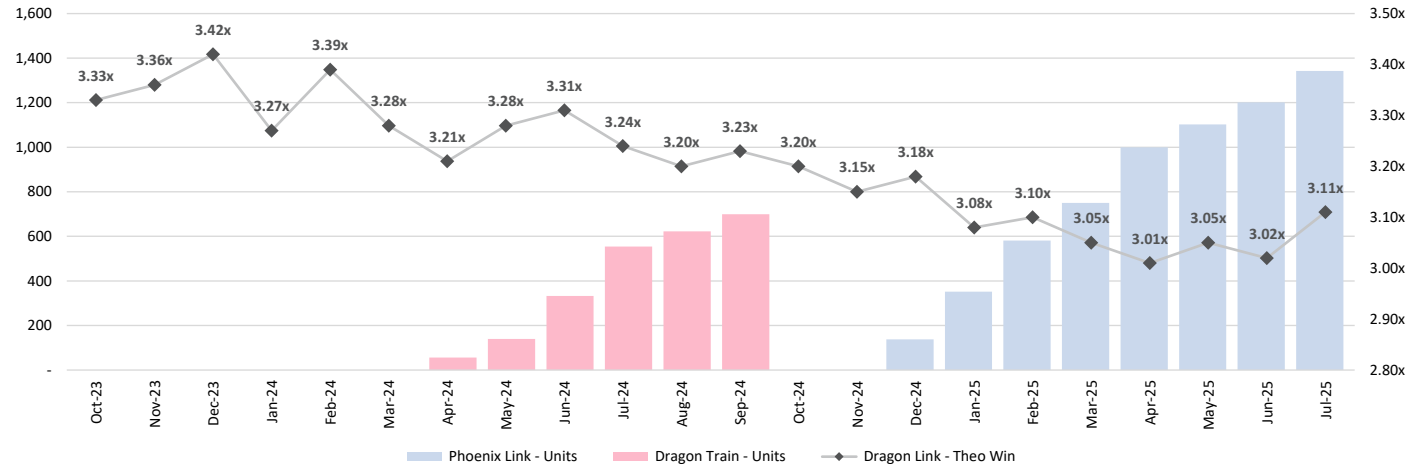


Source: Eilers & Krejcik, E&P Estimates

Although Dragon Link retained its crown, its relative performance per unit has declined over the last 18-months. Below we compare Dragon Link's performance to the net installs of Dragon Train & Phoenix Link - the two games thought of as the most likely competition.

- We believe that there doesn't appear to be any obvious sign of a direct impact.
- Dragon Link's performance was already on a marginal downward trend (as are most games after launch), with the pace reasonably unchanged.
- Furthermore, Dragon Link did not gain any incremental performance in the months immediately following the removal of Dragon Train, which would have been the months with the largest incremental change in competition.
- We believe that a bigger factor overall is that the proportion of premium lease games on the floor of casinos has increased over time. Therefore, the benchmark for these games vs. the floor has declined over time.
- There are currently >5x more Dragon Link games on the floor than Phoenix Link. It could be argued that if anything, the biggest impact on Dragon Link's performance is itself.

Exhibit 6 - Dragon Link Theo Win (RHS) vs Phoenix Link & Dragon Train Leased Units (LHS)

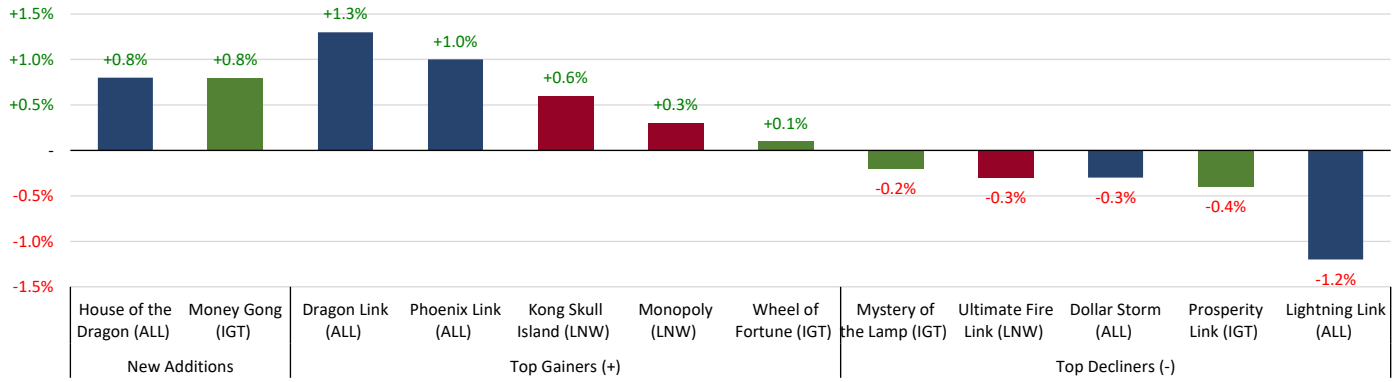


Source: Eilers & Krejcik, E&P Estimates

Market Share Movements

Below, we demonstrate the premium lease franchises that have the biggest net increase in theoretical win. Interestingly, Dragon Link was the leader between the Apr-25 & Jul-25 Eilers reports. We suspect this may be due to the increased sample size in the survey, as in the prior 3-months, Dragon Link was the franchise that ceded the most share.

Exhibit 7 - 3 Month Net Change in % of Theo Win - Top Grossing Premium Lease & WAP Parent Games



Source: Eilers & Krejcik, E&P Estimates

Below we show the same chart but for the 12-month movements, which should smooth out some of the short-term sample bias.

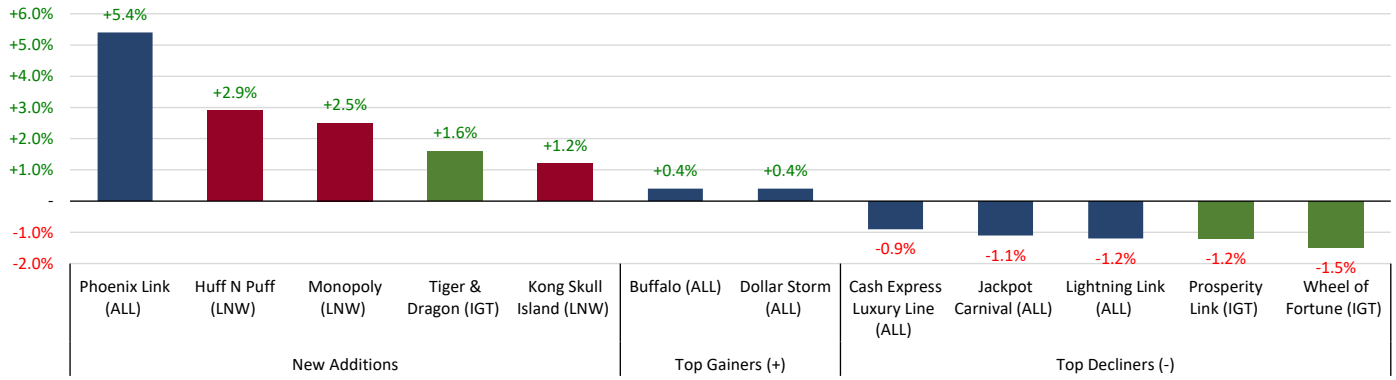
- Interestingly, the nine biggest gainers of market share were all new franchises.
- Only two previously ranked franchises gained share which were Aristocrat's Buffalo & Dollar Storm franchises.
- Two franchises also broke even, whilst the remaining twelve franchises all experienced market share declines.

We note that the sample below is relative to other premium lease franchises, not the overall market. Given the overall increase in the premium lease footprint over the past few years, market share declines in the above/below charts do not necessarily mean that the franchise saw a reduction in physical footprint.

Overall, we think it's a tough call between picking the winner out of Aristocrat & LNW:

- Aristocrat has the biggest gainer by quite some margin with Phoenix Link. Given the concentration skew to the top games that we previously mentioned, and the reasonably high turnover of the lower-ranked games, we view this as a large advantage.
- However, LNW also performed well with three of the top five rising franchises, but none of the top receding franchises.

Exhibit 8 - 12 Month Net Change in % of Theo Win - Top Grossing Premium Lease & WAP Parent Games



Source: Eilers & Krejcik, E&P Estimates

When considering the current run rate, we would have to give Aristocrat the edge. Below we chart the overall ramp-up of each franchise (left chart) and the incremental monthly change (right chart):

- It appears that Phoenix Link is still scaling the fastest, with some of the other franchises at/near scale.
- Huff n Puff in particular appears to be slowing down. This mirrors some of our industry feedback that suggests that some of the newer versions of the franchise are not performing as well, and the strong new games have been more "one in, one out" rather than incremental. That said, the newest version of the game, "Huff n Even More Puff Grand," has been performing very well and is currently doing 3.03x net win vs. zone.
- Monopoly was the second-fastest scaling LNW franchise. However, LNW recently lost the Hasbro licence (discussed further below) and therefore we don't expect the franchise to scale much further.

Exhibit 9 - Top 5 Franchises with the Greatest Premium Lease Win Share Gains over the past 12 months

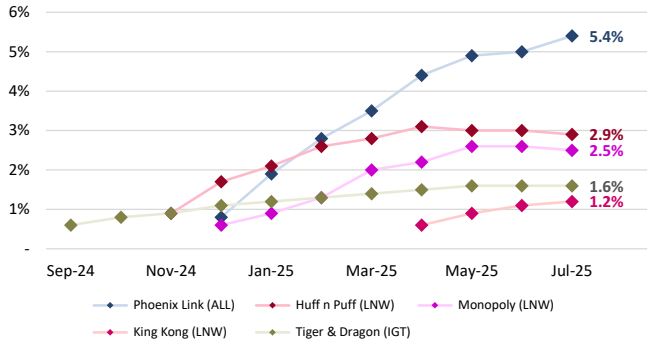
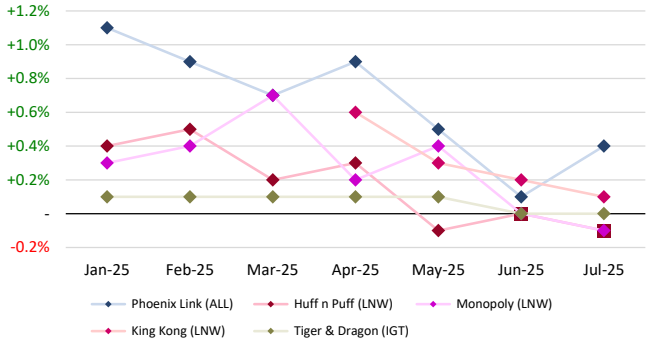


Exhibit 10 - Monthly Change - Top 5 Franchises with the Greatest Premium Lease Win Share Gains over the past 12 months

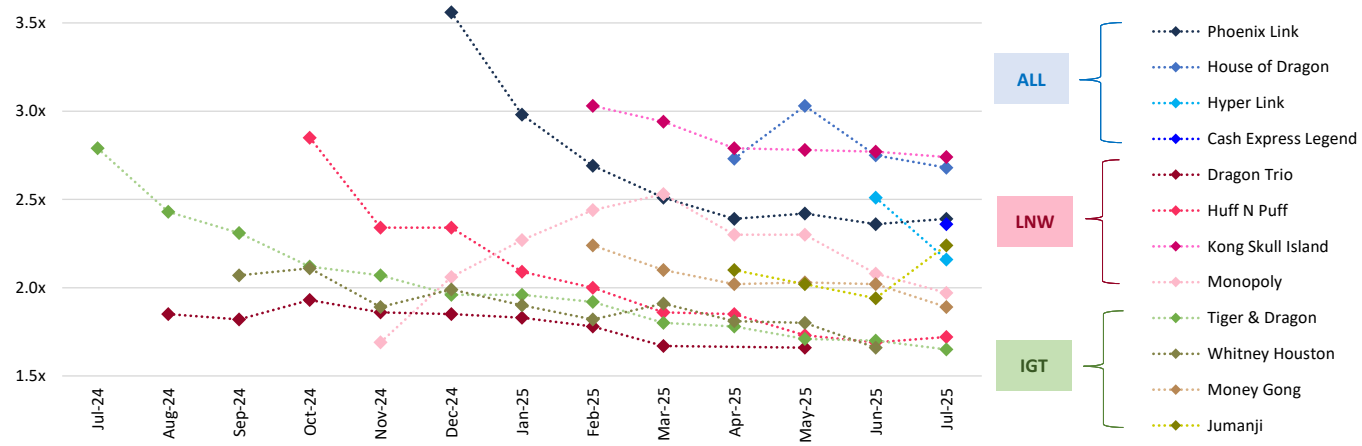


The chart below demonstrates the average net win vs. zone for each of these franchises and some others that launched in the past year.

- We can observe an almost unanimous downward trend once games are released.

- The one exception to this is Monopoly, whose performance was driven by the two new games in the franchise having superior scale and performance to their predecessors.
- The biggest decline has come from Huff n Puff. We believe some of the new versions, such as the 'High Rise' & 'Extra Puff' games, impacted the performance of the overall franchise. As previously mentioned, the new 'Huff N Even More Puff Grand' has the potential to boost the franchise.

Exhibit 11 - Net Win vs. Zone - New Games on Eilers Top 25 Indexing Premium Leased & WAP Games



Source: Eilers & Krejcik, E&P Estimates

Top New Games

Below we detail some of the top new premium lease games that have come out recently. Relative to prior quarters, the list of new games is arguably a little light. This can often be the case, given that many of the best games are often showcased at G2E in early October.

- House of Dragon (Aristocrat) - IP game based on the hit TV show. Aristocrat has an existing Game of Thrones slot portfolio that they launched in 2015.
- Cash Express Legend (Aristocrat) - A train-themed Hold n Spin game. It is an extension of the original Cash Express Luxury Line.
- Huff n Even More Puff Grand (LNW) - WAP game that introduces a new Ultra Wheel. The highest performing Huff n Puff game, but a small sample size.
- Ultimate Fire Link Triple Nova (LNW) - Newest addition to LNW's top franchise with a new three-pot feature. Very strong performance and the first UFL extension for some time that has performed better than its predecessors.
- Wizard of Oz, I'll get you my Pretty (LNW) - IP game with WAP feature. The franchise quickly launched in iGaming with an exclusive BetMGM deal.
- Magic Treasures Gold (IGT) - Expanded the original base game from one to three money-ball pots. Was the game chosen to debut IGT's new RISE55 cabinet.

Spooky Link - The Next Big Game that No One is Talking About?

We believe the best new game that has been missed by a lot of the market is Aristocrat's new Spooky Link.

- We suspect the reason it has gone under the radar is that the game started out as an outright sale game.
- In its second month, the game is currently performing at 2.98x vs. zone.
- The game has also not yet made Eilers Top Indexing Overall Parent game list because it falls marginally short of the minimum survey size requirement (255 units vs. 264 min). If it were included, it would rank as #2 behind Dragon Link, albeit with a much smaller sample size.

Exhibit 12 - Top Indexing Overall Parent Game with Spooky Link added in.

Rank	Game	Supplier	Slots	DOF	TvZ	Category
1	Dragon Link	ALL	5,185	1,004	3.10	Premium
	Spooky Link	Aristocrat	255	30	2.98	Core
2	Kong Skull Island	LNW	294	84	2.65	Premium
3	Phoenix Link	ALL	1,347	128	2.38	Premium
4	Dollar Storm	ALL	948	743	2.04	Premium
5	Lightning Dollar Link	ALL	545	633	2.02	Premium
6	Ultimate Fire Link	LNW	2,812	566	1.98	Premium
7	Lightning Link	ALL	2,485	1,074	1.97	Premium
8	Monopoly	LNW	894	124	1.95	Premium
9	Money Gong	IGT	289	79	1.91	Premium
10	Railroad Riches	Sega	526	186	1.77	Core
11	Monster	LNW	440	352	1.74	Premium
12	Wheel of Fortune	IGT	1,000	754	1.70	Premium
13	Tiger & Dragon	IGT	674	175	1.66	Premium
14	Mystery of the Lamp	IGT	790	277	1.63	Premium
15	Mo Mummy	ALL	2,433	249	1.62	Core

Source: Eilers & Krejcik, E&P Estimates. Notes: Eilers minimum is 264 slots in the survey.

Exhibit 13 - Aristocrat new Spooky Link Franchise

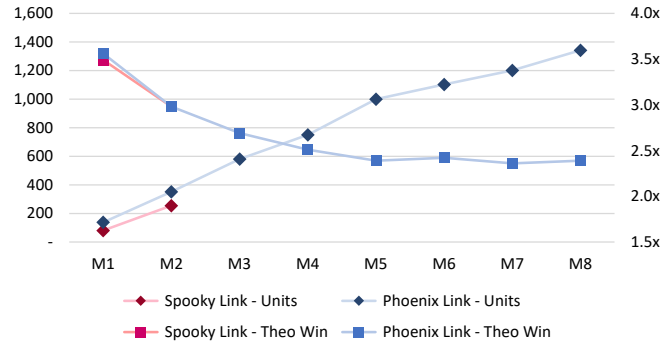


Source: Aristocrat

We searched the Eilers reports for other recently launched games to see which game Spooky Link most resembles in scale and performance. The answer we came to was Phoenix Link, and the resemblance was uncanny.

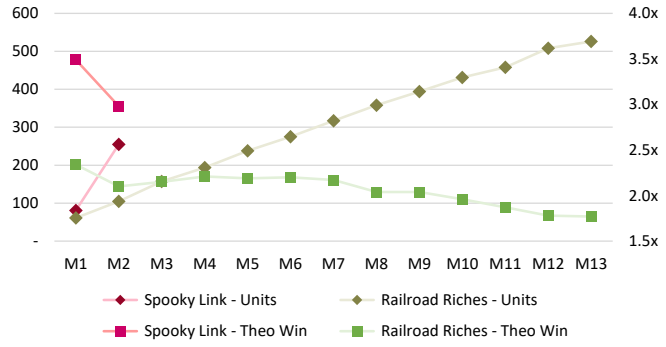
- By contrast, the best core franchise over the past few years, Railroad Riches, was not close.
- Although early days, we believe that Aristocrat could have a top-5 caliber franchise on their hands. The difference is that Phoenix Link was one of the most hyped games in recent memory, whilst Spooky Link has not been.
- We expect that Aristocrat will look to move the game to a lease-only option soon based on performance.

Exhibit 14 - Spooky Link vs Phoenix Link - Units (LHS) & Theo Win (RHS)



Source: Eilers & Krejcik, E&P Estimates

Exhibit 15 - Spooky Link vs Railroad Riches (next top Core Game) - Units (LHS) & Theo Win (RHS)



Source: Eilers & Krejcik, E&P Estimates

Monopoly Licence Change

In early July, Hasbro (best known for the Monopoly franchise) announced that it had issued new multi-year casino licensing partnerships. This meant that the incumbent LNW would not retain the licences for land-based and iGaming content. However, SciPlay would retain the licence for social casino. The new licensees beginning in 2026 are as follows:

- Aristocrat – B2B land-based slots (Monopoly)
- Evolution – B2B online slots and live casino (Monopoly, Hasbro Games)
- Galaxy Gaming – B2B casino table games (Monopoly, Yahtzee, Battleship)
- Bally's – B2C online casino operator (Monopoly)

LNW can still place product on floors until the end of CY25, and lease units can remain on the floor until CY26. This creates an interesting timing conundrum. If they were at the same time, then we think the strategy would have been quite obvious - convert Monopoly to an outright sales game and push this hard. This would achieve both:

- Maximizing the potential game revenue.
- Flooding the market to potentially cannibalize future Aristocrat games.

The timing for LNW of not retaining the land-based slots licence is very interesting given they are finally achieving success with the franchise.

- As previously mentioned, the recent Monopoly Express Beijing Railroad & Pacific Station has led to the franchise achieving the third most incremental market share over the past twelve months.
- We are unsure of the specific financial details, but suspect it may have been one of the most expensive licences in the market, along with NFL and Wheel of Fortune.

Exhibit 16 - Top Performing Monopoly Slot Games

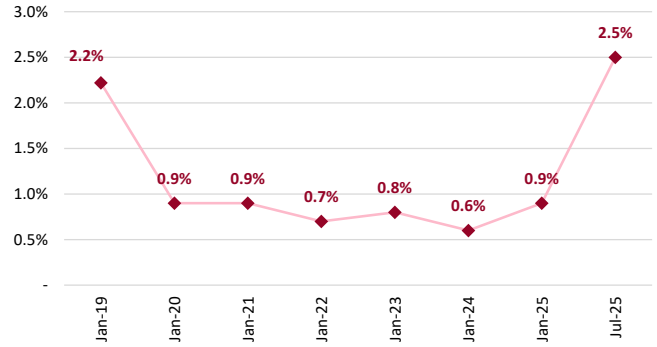
Game Name	Days on Floor	Slots in Survey	Theo Win vs Zone
Monopoly Cash Wheel - Electric Spins - Super Blazing 777	73	13	1.53x
Monopoly Cash Wheel - Electric Spins - Stars & Bars Jackpots	78	10	1.10x
Monopoly Express Beijing Railroad	103	397	2.13x
Monopoly Express Pacific Station	104	368	2.00x
Monopoly Cash Wheel - Blazing 777 Triple Double Jackpot Wild	195	34	1.60x
Monopoly Cash Wheel - Bonus Time Deluxe	202	12	1.79x
Monopoly Cash Wheel - Blazing 777 2x3x5x	271	22	1.54x
Monopoly Lunar New Year	349	14	0.97x

Source: Eilers & Krejcik, E&P Estimates

Below we show the performance of the top two slot IP brands Monopoly and Wheel of Fortune.

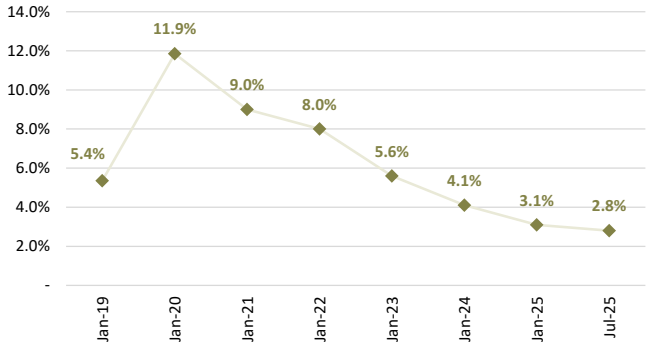
- Both franchises have seen significant swings in performance.
- We would expect this from IP brands given they are more likely to go through swings in popularity relative to proprietary themes such as Dragons. However, Monopoly and Wheel of Fortune would both be considered quite resilient brands relative to some other IP-based slot content.
- We believe that while the brands are important, the math and game features are crucial to performance. The uplift from the new games in each franchise indicates that these brands likely do still have staying power and that success may just be a case of the underlying game quality.

Exhibit 17 - Monopoly - % of Theo Win from the Premium Leased & WAP segment



Source: Eilers & Krejcik, E&P Estimates

Exhibit 18 - Wheel of Fortune - % of Theo Win from the Premium Leased & WAP segment

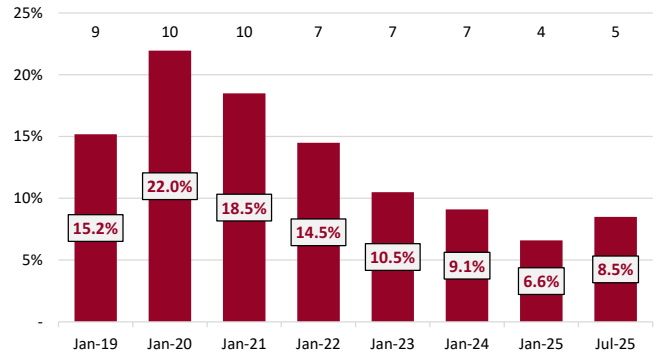


Source: Eilers & Krejcik, E&P Estimates

Below we show the trends in the performance of IP-branded slots:

- IP brands peaked in both frequency and performance in 2020. At the time, there were 10 games in the Top 25 premium lease franchises, and they accounted for 22% of the theoretical win.
- IP brand market share then went on a 5-year decline, until the recent Monopoly extensions saw an uplift in performance.
- IP brands have had mixed results relative to their expectations. Examples of games with high expectations that ultimately under-performed include NFL (Aristocrat), Squid Games (LNW) and Whitney Houston (IGT). In contrast, other recent brands such as Frankenstein and Kong Skull Island (LNW) have beaten expectations.

Exhibit 19 - IP Brands - % of Theo Win from the top 25 Premium Leased & WAP Franchises - Count (out of 25) as top label



Source: Eilers & Krejcik, E&P Estimates

Exhibit 20 - Jan-20 IP Brands - Top 25 Premium Leased & WAP Franchises

Rank	Game	Supplier	% of Theo Win	IP Brand
1	Lightning Link	Aristocrat	23.7%	
2	Dragon Link	Aristocrat	21.3%	
3	Wheel of Fortune	IGT	11.9%	IP
4	Buffalo Grand	Aristocrat	5.2%	
5	Ultimate Fire Link	SciGames	4.6%	
6	Buffalo Diamond	Aristocrat	3.4%	
7	Tarzan	Aristocrat	2.0%	IP
8	Jin Ji Bao Xi	SciGames	2.0%	
9	Smokin Hot Stuff	Everi	1.9%	IP
10	James Bond	SciGames	1.2%	IP
11	Shark Week	Everi	1.1%	IP
12	Money Link	SciGames	0.9%	
13	Monopoly	SciGames	0.9%	IP
14	Farmville	Aristocrat	0.8%	IP
15	The Walking Dead 2	Aristocrat	0.8%	IP
16	Dollar Storm	Aristocrat	0.7%	
17	Fortune Gong	IGT	0.7%	
18	Jurassic Park	IGT	0.7%	IP
19	Dancing Drums	SciGames	0.7%	
20	Liberty Link	Aristocrat	0.7%	
21	Willy Wonka	SciGames	0.7%	IP
22	Megabucks	IGT	0.6%	
23	Quick Hit	SciGames	0.5%	
24	Jin Long 888	IGT	0.5%	
25	5 Dragons Grand	Aristocrat	0.5%	

Source: Eilers & Krejcik, E&P Estimates

Most Anticipated Gaming Content

The chart below highlights the "most anticipated" games from the Eilers Slot Survey. We note that Eilers are expected to publish their next slot survey at some stage this week. As of the latest available report, Phoenix Link was still the most anticipated game despite having already been available for around 6-months.

Exhibit 21 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier

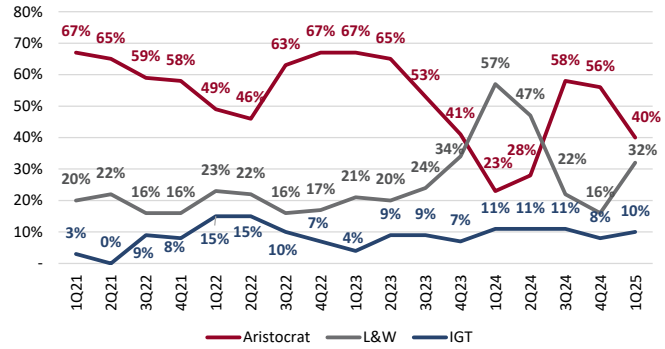
			% of total Votes							
No.	Supplier	Game	1Q25	4Q24	3Q24	2Q24	1Q24	4Q23	G2E/3Q	2Q23
1	Aristocrat	Phoenix Link	17%	31%	48%	15%				
2	LNW	Huff n Puff Franchise	12%	5%	7%	21%	4%	5%		
3	Aristocrat	House of Dragon	9%	14%	4%					
4	LNW	Rampage	6%							
5	IGT	Wheel of Fortune Franchise	5%	5%	3%					
6	Bluberi	Honey Bomb	3%	2%	3%					
7	LNW	Dragon Train / DT 2.0	3%		4%	7%	36%	6%	8%	4%

Source: Eilers & Krejcik, E&P Estimates

Below we chart the cumulative votes of these surveys over an extended time series.

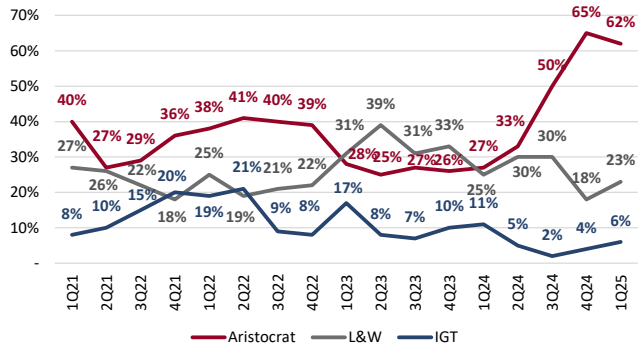
- Interestingly, when LNW peaked in terms of cumulative survey votes, this was primarily driven by Dragon Train and Squid Game. Neither franchise has been a material contributor (at least by current footprint) to LNW's recent strong net adds.
- Aristocrat has since regained top spot for the most cumulative votes for the last 3 quarters, primarily driven by Phoenix Link.
- LNW has shown a lot of consistency in having a large volume of depth on each survey.
- Aristocrat was dominant as well in the most anticipated cabinets due to the Baron Portrait cabinet earning 48% of the votes.

Exhibit 22 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all games from each supplier that received votes.

Exhibit 23 - Eilers & Krejcik - Most Anticipated Core Cabinets by Supplier



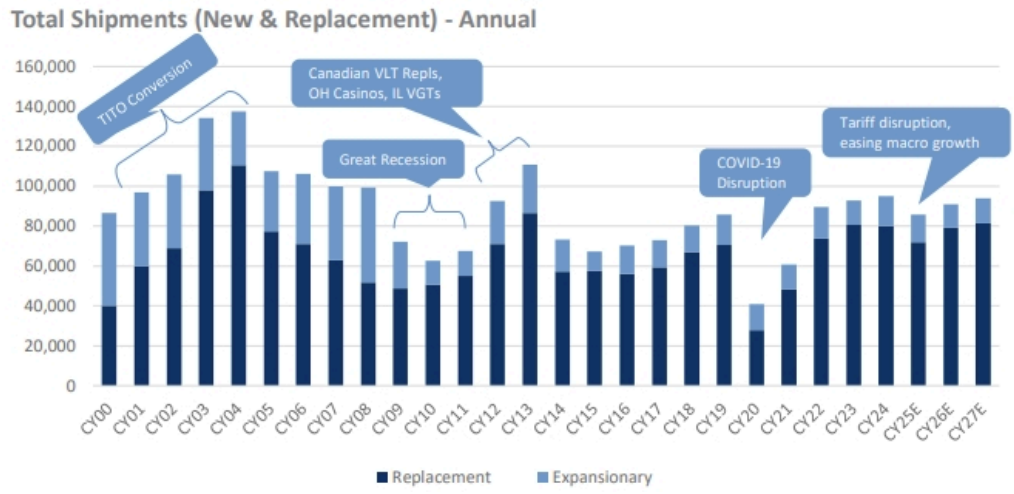
Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all cabinets from each supplier that received votes.

Casino Capex Cycle

North American outright sales have been robust since COVID.

- Each of the last three years has been the strongest since CY13.
- Part of this can be attributed to the excess demand following the COVID backdrop.
- We also attribute some of this spending to the shift in GGR spend towards premium players, who demand the best games.

Exhibit 24 - Total Annual North America Slot Shipments



Source: Eilers & Krejcik

Last quarter, macroeconomic concerns and potential tariff implications led many in the market to speculate that the casino capex cycle could slow down in CY25. These appear to have partially eased.

- US slot GGR has since been robust.
- A full-scale Canadian embargo of US slot machines has not materialized following the initial embargo announcement from the Alberta Gaming & Liquor Commission. Our industry feedback has indicated that these have been easily worked around, i.e., the standard so far has been that if the machine was assembled outside the US, it is fair game.
- Tariff concerns on supply chains actually led a lot of casinos to bring forward their slot capex.

Consequently, Eilers has revised up their forecasts for CY25, but are still forecasting a -9.7% decline vs. CY24.

- Eilers cites tariff-related disruption, easing macroeconomic growth & lower expansionary demand.

Exhibit 25 - Eilers & Krejcik North America Outright Sales Forecast Revisions

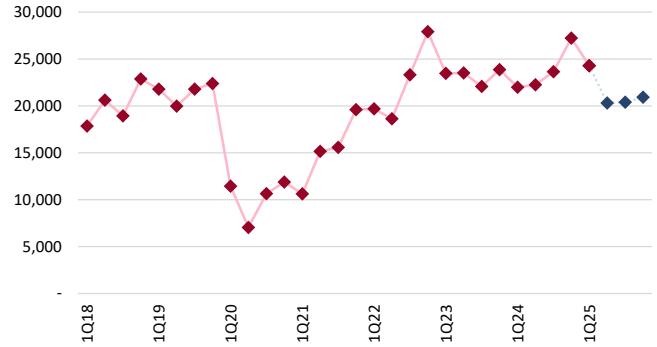
	New Estimates			Previous Estimates			Revisions		
Outright Sales	**CY25**	**CY26**	**CY27**	**CY25**	**CY26**	**CY27**	**CY25**	**CY26**	**CY27**
Replacements	72,036	79,420	81,515	66,611	79,104	81,400	+5,425	+316	+116
New & Expansionary	13,867	11,449	12,381	15,591	12,553	11,022	-1,724	-1,104	+1,359
Total	**85,903**	**90,869**	**93,896**	**82,202**	**91,657**	**92,422**	**+3,701**	**-788**	**+1,474**

Source: Eilers & Krejcik, E&P Estimates

Below we show a breakdown of Eilers' current quarterly outright sales forecasts.

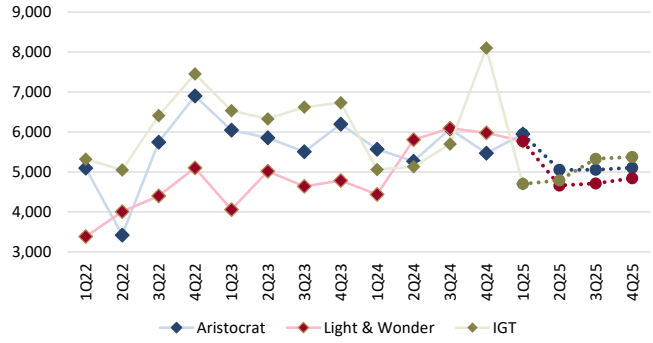
- They are currently projecting a decline in outright sales for all three major vendors in CY25.
- Relative to consensus estimates, Eilers' current LNW forecasts are -19%/-20%/-18% for the remaining three quarters.

Exhibit 26 - Eilers & Krejcik Quarterly Forecast - North America Outright Sales Units - Entire Market



Source: Eilers & Krejcik, E&P Estimates

Exhibit 27 - Eilers & Krejcik Quarterly Forecast - North America Outright Sales Units



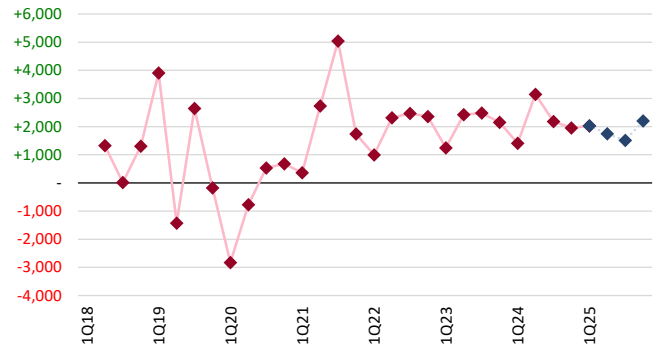
Source: Eilers & Krejcik, E&P Estimates

Below we show the same charts but for net adds.

- Eilers are forecasting overall market net adds of +7.5k in CY25 vs. +8.7k in CY24.
- Eilers' forecasts are currently around 100–150 units below consensus for the remaining three quarters.

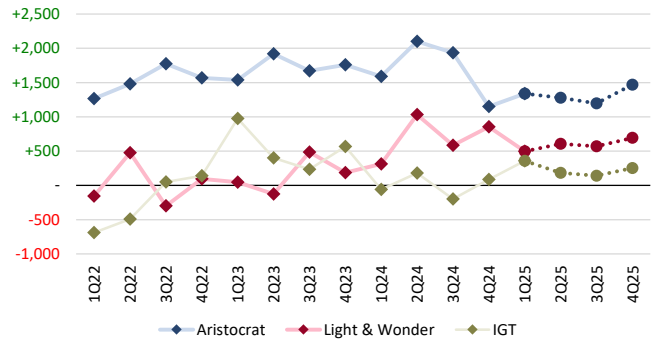
We suspect that the reason for the diversion is that sell-side analysts are relying heavily on management commentary. LNW has been fairly firm that they still expect to reach their long-term target of $1.4bn AEBITDA in FY25. We expect that in most scenarios, substituting in the current Eilers forecasts would mean that LNW would fall short of this target.

Exhibit 28 - Eilers & Krejcik Quarterly Forecast - North America Install Base Net Adds - Entire Market



Source: Eilers & Krejcik, E&P Estimates

Exhibit 29 - Eilers & Krejcik Quarterly Forecast - North America Install Base Net Adds



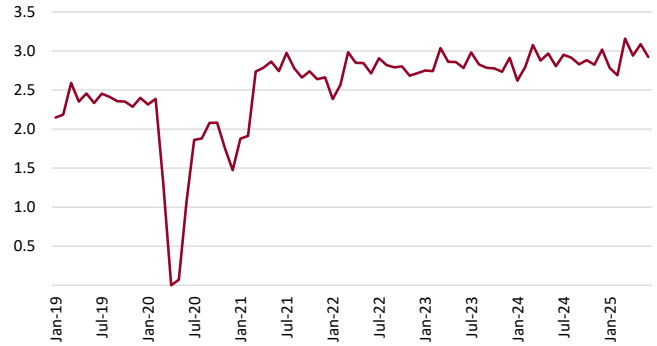
Source: Eilers & Krejcik, E&P Estimates

Land-Based GGR Trends

US slot GGR remains robust overall despite macro concerns in February and volatility in the Las Vegas market.

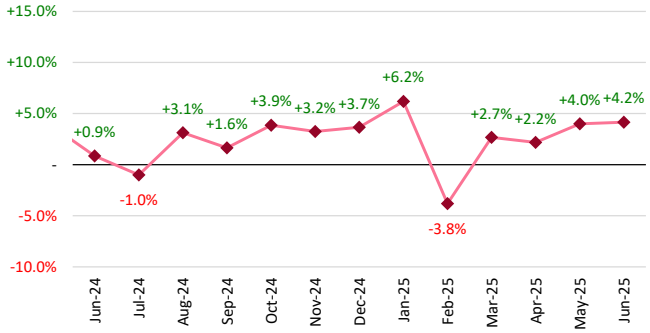
- June Slot GGR grew +4.2% YoY.
- 10/18 states saw +'ve YoY growth
- The weakness in February (-3.8%) now appears to be an outlier driven by adverse weather and a leap-year comp.
- Slot GGR continues to be more robust than table games.

Exhibit 30 - US Slot GGR (US$bn.)



Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include CT, FL, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI.

Exhibit 31 - US Slot GGR growth rate (YoY)

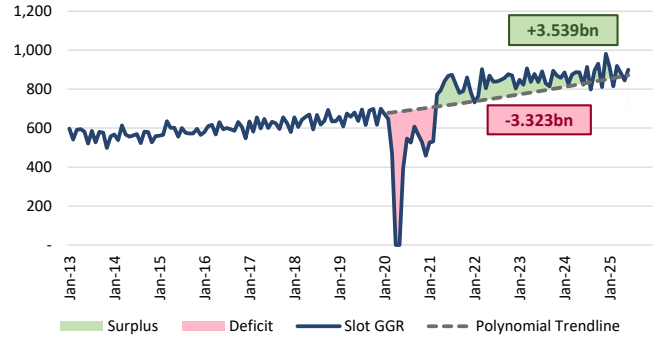


Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include CT, FL, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI.

Nevada slot GGR is now in-line with the pre-COVID trendline. Specifically, Las Vegas slot GGR is seeing an exacerbated trend of weak visitor volumes offset by strong spend per visitor.

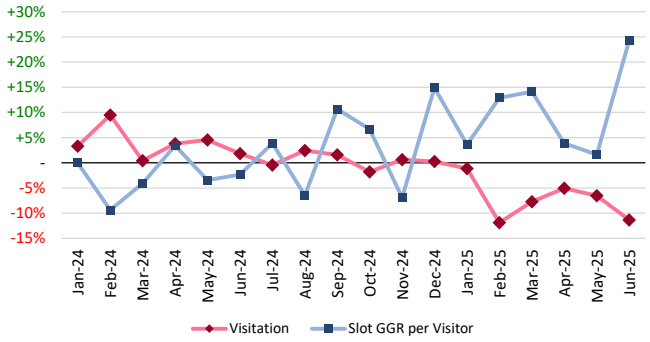
- In June, visitation was down -11.3% whilst spend per visitor was up +24.3%.
- When adjusting for the number of days in the months, this was the lowest visitation since Aug-22, but also the second largest spend per visitor of all time.
- Vegas has become an increasingly high-roller destination. Relative to pre covid (Jun-19), visitation is down -14.2%, whilst spend per visitor is up +64.7%. Total slot GGR is up +41.3%.

Exhibit 32 - Nevada Slot GGR (US$m) - Surplus/Deficit based on pre-covid Polynomial trendline



Source: UNLV, various state gaming bodies, E&P Estimates

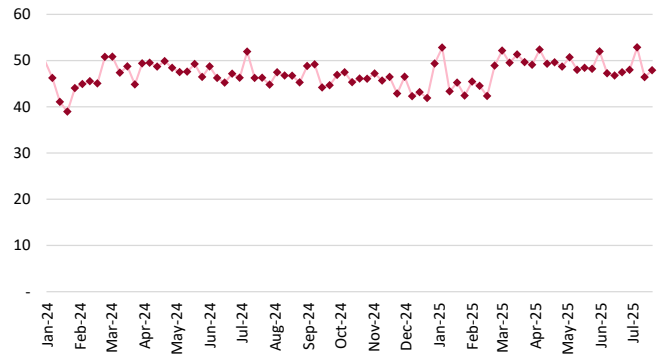
Exhibit 33 - Las Vegas Visitation and Slot GGR per Visitor (YoY)



Source: UNLV, various state gaming bodies,LVCVA, E&P Estimates.
Note: figures are for Clark County only.

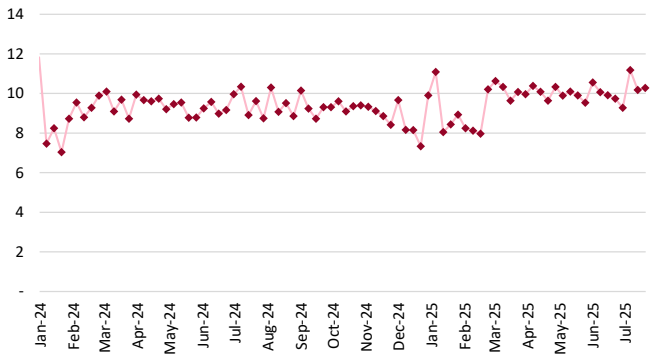
New York weekly data appears to be relatively flat since March.

Exhibit 34 - Weekly New York VLT GGR (US$m)



Source: Various state gaming bodies, E&P estimates.

Exhibit 35 - Weekly New York Casino Slot GGR (US$m)



Source: Various state gaming bodies, E&P estimates.

Land Based Read-Throughs

Summary

- Very mixed results, particularly in Las Vegas. Overall though casinos are seeing strength in premium players and regional locations. Retail players, international visitation and room rates all weaker.
- July has been performing the same as June. Expect a stronger 4Q vs 2Q/3Q.
- The Big Beautiful Bill is positive overall for casinos, impacts on spend are a little mixed but the interest/depreciation deductions are very positive.
- Almost zero mentions of tariffs which was the number one topic in May.

Boyd Gaming

Macro Trends:

- Strength in rated play and improving trends in retail customers for the first time in a while.
- Regional has been stronger than Vegas which is seeing softness from out-of-town customers. Vegas market room rates have been lower than the PcP.
- First 3 weeks of July have been the same trends as 2Q.

Tax Bill Changes:

- Tax changes should be incrementally positive for spend – no tax on tips, reduced tax on overtime, deduction for seniors (40% of customer base).

Tariffs:

- More comfortable with capex projects than last Qtr. No mention of changes to costs.

Churchill Downs

Macro Trends:

- Regional gaming improved in 2Q.
- Increased spend per trip from high-end rated players. Unrated player trends comparable to prior quarter.

Tax Bill Changes:

- Increased interest & depreciation deductions will result in $50-60m cash savings.

Slot Floor:

- Multi-state growth pipeline for Historical Horse Racing.
- Developed a new HHR roulette product with Interblock.

MGM Resorts

Macro Trends:

- Acknowledged commentary about Las Vegas but argue it remains fundamentally solid. Las Vegas EBITDAR was -2% excl. remodel at MGM Grand.
- Premium players remain strong. Value players have seen a decline.

- Las Vegas visitation has been mixed. Saw starting in May, about a nine week decline in bookings. Three of the last four weeks have seen growth. Weekends are near capacity. Midweek visitation has been soft. International visitation down. 2026 convention calendar looks stronger.
- Have reduced room-rate prices to match the current aggressive offers in the market.
- June trends have continued into July.
- Optimistic about restoring a growth trajectory in Las Vegas in 4Q.
- Regional is very strong with many properties reporting record highs.

Tax Bill Changes:

- Actively lobbying against the unfair new gambling tax deduction rules (90% deduction cap).
- No tax on tips & overtime is neutral overall.
- Bonus depreciation has a large impact. Tax forecast revised from $100m liability to $100m refund

Margins:

- $150m in annualised cost savings - AI driven chatbot, restaurant bar codes. Around 70-80 different initiatives.
- General rule of thumb is 50% of revenue increase/decrease hits the bottom line.

Caesars

Macro Trends:

- Las Vegas softer than last year. No sugar-coating from Caesars.
- Booking window is the shortest they have seen. Started declining in May, but has stabilised in July. Lack of headliner events a factor.
- International business is weaker, particularly from Canada.
- Expecting 3Q to be similarly soft as 2Q in Las Vegas. Implies EBITDAR will be down high single digits. Should pick up in 4Q based on strong calendar.
- Regional is up in July, particularly rated play.
- Cut down on unprofitable marketing and reinvested in their Caesars Rewards database. Early results are promising.

Slot Floor:

- Made additional investments in new slot capital that is driving yoy growth.
- Always tweaking leased units. Have increased leased proportion overall due to analytics.

Tax Bill Changes:

- Increased interest and depreciation expense. ~$80-100m p.a. impact.

Red Rock Resorts

Macro Trends

- Contrary to others, Vegas has been strong - delivered a record result, partially aided by favourable gaming hold rates.
- Not as anchored by events as the Strip casinos. More pure gaming locations that are affordable. Hotel a smaller part of the business and have avoided the room rate war on the Strip.
- Strength in carded slot play. No weakness in retail play though.

- Robust visitation & customer spend per visit. Under 35's up +15%.
- Strong room rates & occupancy across the whole portfolio.
- Not seeing any weakness in July. Positive forward bookings momentum.

Slot Floor

- Invested in high-limit slots post COVID which has paid off.

Tax Bill Changes

- Interest & Depreciation deductibility is material – don't expect to pay cash taxes for the remainder of CY25.
- Other changes should all boost discretionary income - No tax on tips, overtime, senior tax credit, expanded family tax credit.

Social Casino Trends

Social Casino is showing some weakness.

- Market data indicates only marginal declines for Aristocrat relative to 1Q25.
- However, June and July have been particularly weak.

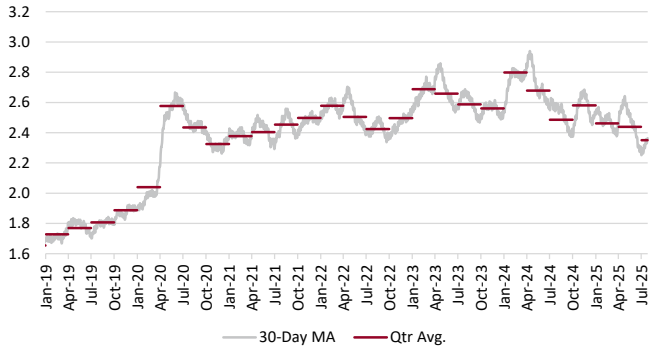
Part of this can be attributable to the impact of sweepstakes gaming.

- Playstudios mentioned at their last quarterly that they are pivoting their investment towards developing their own sweepstakes product.

We also believe the charts below understate the actual performance given that the data excludes direct-to-consumer platforms which are gaining share.

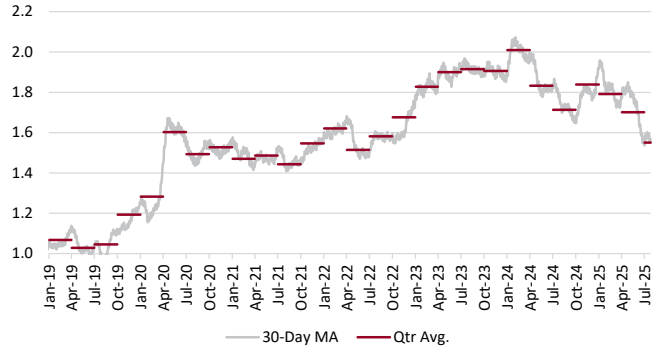
- Playtika is the current leader in DTC migration, generating 28.1% of revenue from DTC in 3Q24 (prior to the acquisition of SuperPlay).
- They note that their own internal proprietary platforms have a COGS of typically 3% to 4% processing fees & other platform-related expenses vs. the 30% platform fee for Apple & Google.

Exhibit 36 - Pixel United Social Casino Slots - Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

Exhibit 37 - SciPlay Social Casino Slots - Average Revenue per Day (US$m)

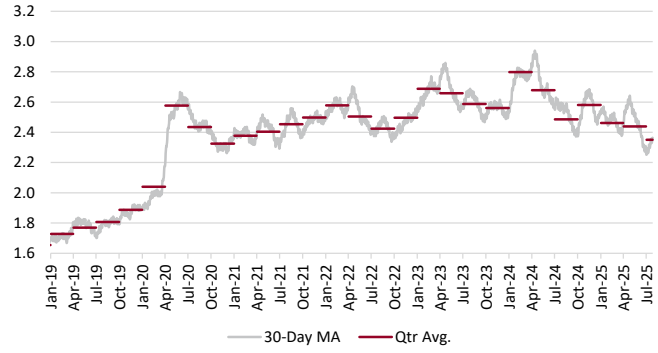


Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Jackpot Party, Quick Hit Slots, Gold Fish Slots, Monopoly Slots, 88 Fortune Casino, Hot Shot Casino, Bingo Showdown, Blazing 7's Casino.

Aristocrat & SciPlay had both been outperforming the market for some time, but appear to have stagnated this quarter.

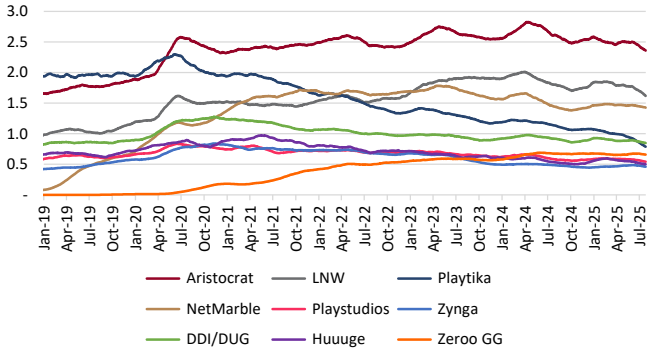
Eilers are currently forecasting a -2.9% CAGR over the next three years for Social Casino games. This can partly be attributed to the growth of sweepstakes gaming and the legalisation of iGaming across more states.

Exhibit 38 - Social Casino Slots - Peers Average Revenue per Day (US$m)



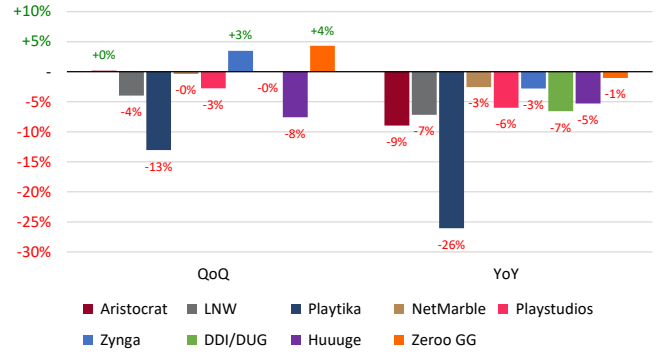
Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Note: peers include Playtika, NetMarble, Playstudios, Zynga, Double Down Interactive, Huuuge & Zeroo GG.

Exhibit 39 - Social Casino Slots - Peers Average Revenue per Day (US$m) - 90 Day MA



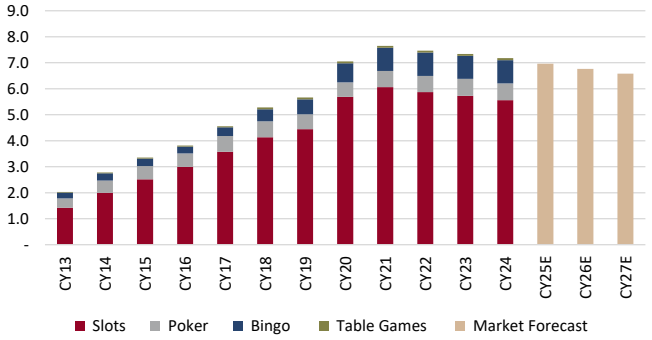
Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels.

Exhibit 40 - Social Casino Slots - Peers Revenue Growth



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Exhibit 41 - Social Casino Market Size Estimates ($USbn) - Eilers & Krejcik



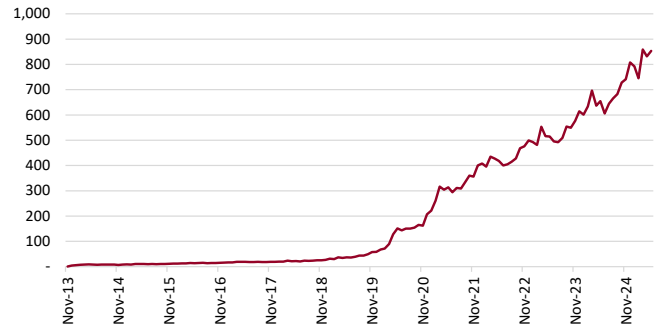
Source: E&P Estimates, Eilers & Krejcik

iGaming Trends

Online Casino is still growing consistently despite no new major states launching.

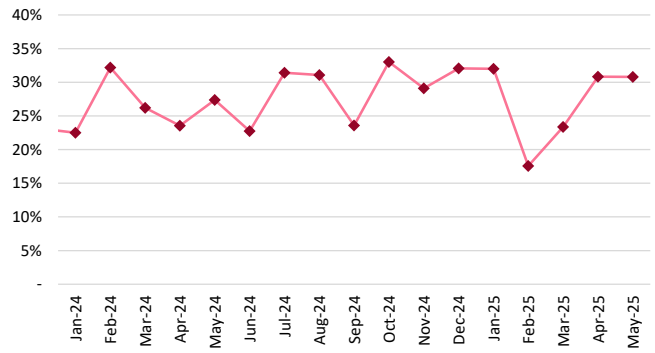
- YoY growth has jumped back above +30%, after a weaker February which fell below +20% for the first time since Oct-23.

Exhibit 42 - US Online Casino GGR (US$m)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Exhibit 43 - US Online Casino Growth (yoy)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Online Read-Throughs

Summary

- Major B2C iGaming players noting a significant step-up in profitability with multiple guidance upgrades.
- B2C players are also looking to produce in-house proprietary content.

Evolution

Content:

- Licencing Deal with Hasbro (i.e. Monopoly) that was formerly with LNW begins 2026.

Seeing same two challenges in Q1:

- Proactive ring-fencing in Europe. “Ensure that our games are only available with locally licensed operators for markets where such licenses exist.”
- Implementing countermeasures to stop the criminal cyber activity in Asia.

Caesars

Content:

- In-house studio has launched 3 proprietary games.
- Launching Caesars branded live studios.
- New bonus capabilities well received by customers.

Operating Trends:

- Focus on spending efficiency

BetMGM

Content:

- New MGM Live studio is producing proprietary content.
- Also prioritising exclusive 3rd party content (e.g. LNW's Wizard of Oz)
- 50% of BetMGM's Top 20 grossing slot titles are omnichannel games

Operating Trends

- Focused on omnichannel offering. 4x increase in number of actives who play with MGM after visiting Vegas.

Changes to Forecast

Aristocrat

We have made the following changes to our overall forecasts for Aristocrat.

Our revisions displayed below excluded Plarium which will now be treated as a discontinued operation. Thus, these revisions should not be considered like-for-like in FY25.

- Increased near-term NA outright sales to adjust for the strong industry feedback around the Baron cabinet & the performance of the core Spooky Link & Mo Mummy franchises
- Increased medium term net adds which reflects our assumption that Spooky Link will migrate into a premium lease franchise & the launch of the monopoly franchise.
- Downgraded social casino.

Our valuation has increased +3.9% to $74.43, and we retain our Positive recommendation.

Light & Wonder

We have made the following changes to our overall forecasts for LNW.

- Shifted some near-term NA net adds into outright sales to adjust for the non-retained Hasbro licence.
- Reduced near-term NA outright sales to adjust for the strong competition from the Baron Portrait cabinet release.
- Downgraded social casino.

Our valuation has declined -4.2% to $247, and we retain our Positive recommendation.

Exhibit 44 - ALL changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**6,255.4**	**6,627.3**	**7,195.0**
	Old	6,213.8	6,638.3	7,184.9
	% change	+0.7%	-0.2%	+0.1%
EBITA	**New**	**2,191.0**	**2,413.9**	**2,706.1**
	Old	2,172.9	2,410.7	2,675.6
	% change	+0.8%	+0.1%	+1.1%
NPATA	**New**	**1,536.5**	**1,723.9**	**1,978.2**
	Old	1,523.3	1,720.9	1,953.9
	% change	+0.9%	+0.2%	+1.2%
Valuation	**New**	**$74.43**		
	Old	$71.67		
	Change %	+3.9%		

Source: E&P Estimates

Exhibit 45 - LNW changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**3,369.6**	**3,663.4**	**3,920.8**
	Old	3,363.9	3,707.9	4,032.9
	% Change	+0.2%	-1.2%	-2.8%
AEBITDA	**New**	**1,395.6**	**1,607.1**	**1,799.5**
	Old	1,386.1	1,612.2	1,836.4
	% Change	+0.7%	-0.3%	-2.0%
NPATA	**New**	**560.7**	**733.6**	**743.1**
	Old	553.1	737.2	769.3
	% Change	+1.4%	-0.5%	-3.4%
Valuation	**New**	**$247**		
	Old	$257		
	% Change	-4.2%		

Source: E&P Estimates

Our Forecasts vs Consensus

Our LNW financial forecasts for 2Q25 vs. Visible Alpha consensus are as follows:

- Revenue: E&Pe $807m, VA Consensus $846m (-4.6%)
- AEBITDA: E&Pe $327m, VA Consensus $350m (-6.7%)
- NA Outright Sales Units: E&Pe 5.0k, VA Consensus 5.7k (-12.8%)
- NA Net Adds: E&Pe +800, VA Consensus +695 (+15.1%)
- NA Fee per Day: E&Pe US$50.4, VA Consensus US$49.8 (+1.2%)

FINANCIAL SUMMARY

Aristocrat Leisure Ltd				ALL-ASX			
As at:	04/08/2025			Recommendation:	Positive	Share Price:	AUD62.10

Year end	Sep	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		5,673.4	6,255.4	6,627.3	7,195.0
EBITDA		2,274.4	2,579.4	2,809.4	3,117.6
D&A		(442.5)	(560.4)	(565.4)	(581.3)
EBIT		1,831.9	2,018.9	2,244.0	2,536.3
Net Interest Expense		(60.0)	(95.4)	(61.7)	(39.8)
PBT		1,572.3	1,786.9	2,182.4	2,496.5
Tax expense		(423.2)	(537.4)	(589.2)	(649.1)
NPAT attributable to s'hers		**1,149.1**	**1,249.5**	**1,593.1**	**1,847.4**
Adjusted Net Profit		1,149.1	1,249.5	1,593.1	1,847.4
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		943.8	1,839.6	2,291.6	2,848.1
Current Receivables		1,089.9	1,144.0	1,207.7	1,306.2
Inventories		277.8	259.2	270.8	287.7
Other Current Assets		114.7	121.4	121.4	121.4
Total Current Assets		2,426.2	3,364.2	3,891.4	4,563.4
Property Plant & Equipment		575	638	673	721
Intangibles		5,346.8	5,186.9	5,060.5	4,979.4
Other Non-Current Assets		312.9	306.5	306.5	306.5
Total Non-Current Assets		7,877.2	7,969.8	7,878.9	7,845.1
Total Assets (BS)		10,303.4	11,334.1	11,770.3	12,408.4
Liabilities					
Short Term Debt		92.8	104.8	104.8	104.8
Current Accounts Payable		987.1	877.9	910.4	966.7
Total Current liabilities		1,578.2	1,764.8	1,811.4	1,889.6
Long Term Debt		1,990.8	1,753.3	1,753.3	1,753.3
Other Non-Current Liabilities		296.7	303.8	303.8	303.8
Total Non-Current Liabilities		2,445.3	2,196.9	2,196.9	2,196.9
Total Liabilities		4,024	3,962	4,008	4,087
Total Shareholders' Equity		6,279.9	7,372.3	7,762.0	8,321.9
Net Assets		6,279.9	7,372.3	7,762.0	8,321.9
Book Value		6,279.9	7,372.3	7,762.0	8,321.9
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		2,366.4	2,372.5	2,809.4	3,117.6
Change in Working Capital		0.0	191.7	(28.6)	(37.2)
Other Operating Cashflow		5.1	49.8	0.0	0.0
Gross Operating Cash Flow		**2,371.5**	**2,613.9**	**2,780.9**	**3,080.3**
Net interest paid		(52.7)	(87.5)	(61.7)	(39.8)
Tax Paid		(553.6)	(546.6)	(589.2)	(649.1)
Net Operating Cash Flows		**1,765.2**	**1,979.8**	**2,129.9**	**2,391.5**
Investing Cash Flows					
Purchase of PP&E		(494.1)	(476.0)	(504.3)	(547.5)
Other Investing Cashflows		6.0	(2,000.0)	0.0	0.0
Total Investing CashFlow		**(2,007.2)**	**(1,595.2)**	**(474.4)**	**(547.5)**

Source: Company data, E&P estimates

Year end	Sep	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(100.4)	(454.3)	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(837.4)	(569.7)	(600.0)	(600.0)
Distributions		(447.7)	(519.1)	(603.5)	(687.5)
Total Financing Cash Flow		**(1,866.1)**	**(1,567.7)**	**(1,203.5)**	**(1,287.5)**
Net Change in Cash		(2,207.2)	(1,104.2)	452.0	556.5
Free Cashflow		1,271.1	1,503.9	1,625.6	1,844.0
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		182.0	200.5	259.6	305.8
DPS (cents)		78.0	84.8	97.6	112.9
Cash Flow Per Share (cents/share)		201.3	241.3	264.9	305.3
Book Value ($/sh)		997.8	1,187.7	1,270.0	1,383.1
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Gaming Revenue		3,628.6	3,913.7	4,151.6	4,445.6
Digital Revenue		1,709.1	1,784.0	1,744.7	1,765.9
Interactive Revenue		335.7	557.6	731.0	983.5
Segment Revenue		5,673.4	6,255.4	6,627.3	7,195.0
Gaming EBITA		2,021.6	2,169.7	2,339.5	2,529.6
Digital EBITA		699.8	765.3	759.7	781.7
Interactive EBITA		104.4	244.7	315.4	412.7
Segment EBITA		2,825.8	3,179.7	3,414.6	3,724.0
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		40.1	41.2	42.4	43.3
EBIT Margin (%)		32.3	32.3	33.9	35.3
Net Profit Margin (%)		20.3	20.0	24.0	25.7
Capital Employed		7,419.7	7,390.9	7,328.5	7,331.9
Return on Capital Employed (%)		27.5	27.3	30.5	34.6
EBITDA/Capital Employed (%)		34.1	34.8	38.2	42.5
ROE %		**17.7**	**18.3**	**21.1**	**23.0**
Net Debt/Equity (%)		18.1	0.3	(5.6)	(11.9)
Net Debt/Net Debt & Equity (%)		15.4	0.3	(5.9)	(13.5)
Net Debt/EBITDA (x)		0.5	0.0	(0.2)	(0.3)
Net Interest Cover (x)		11.7	13.1	15.1	17.0
GOCF/EBITDA (%)		1.0	1.1	1.0	1.0
Total Capex/Sales (%)		35.5	(6.5)	7.2	7.6
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		76.9	87.9	84.0	80.7
EV/EBITDA (x)		14.3	15.6	14.4	13.0

BLENDED VALUATION		
Valuation - DCF	74.43	100.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD74.43	

Light and Wonder				LNW-ASX	
As at:	04/08/2025			Recommendation:	Positive

Year end	Dec	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		3,188.0	3,369.6	3,663.4	3,920.8
EBITDA		1,245.0	1,395.6	1,607.1	1,799.5
D&A		(360.0)	(370.9)	(366.3)	(385.2)
EBIT		885.0	1,024.7	1,240.9	1,414.3
Net Interest Expense		(294.0)	(308.0)	(308.2)	(285.7)
PBT		591.0	716.6	932.7	1,128.6
Tax expense		(86.0)	(112.9)	(156.4)	(197.5)
Share of profits from associates		0.0	0.0	0.0	0.0
Minority Interest		0.0	0.0	0.0	0.0
NPAT attributable to s'hers		**336.0**	**415.7**	**588.3**	**743.1**
Normalisation Adjustments		169.0	188.0	188.0	188.0
Adjusted Net Profit		505.0	603.7	776.3	931.1
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		312.0	351.8	785.7	1,519.8
Current Receivables		585.0	721.1	751.2	805.8
Other Current Assets		134.0	124.0	124.0	124.0
Total Current Assets		1,031.0	1,196.8	1,660.9	2,449.6
Property Plant & Equipment		330	403	441	496
Intangibles		615.0	570.3	565.9	576.4
Other Non-Current Assets		397.0	419.0	419.0	419.0
Total Non-Current Assets		4,232.0	5,061.6	5,094.7	5,160.4
Total Assets (BS)		5,263.0	6,258.4	6,755.6	7,610.0
Liabilities					
Short Term Debt		3,870.0	4,707.0	4,707.0	4,707.0
Current Accounts Payable		216.0	270.0	273.1	283.6
Total Current liabilities		4,582.0	5,463.0	5,466.1	5,476.6
Other Non-Current Liabilities		203.0	198.0	198.0	198.0
Total Non-Current Liabilities		203.0	198.0	198.0	198.0
Total Liabilities		4,785	5,661	5,664	5,675
Total Shareholders' Equity		636.0	784.7	1,281.0	2,132.1
Net Assets		478.0	597.4	1,091.5	1,935.3
Net Tangible Assets		(2,869.0)	(3,454.6)	(2,953.9)	(2,113.4)
Book Value		636.0	784.7	1,281.0	2,132.1
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		747.0	1,273.6	1,607.1	1,799.5
Change in Working Capital		(76.0)	(88.3)	(29.2)	(51.3)
Other Operating Cashflow		13.0	(60.0)	(80.0)	(80.0)
Gross Operating Cash Flow		**684.0**	**1,125.3**	**1,497.9**	**1,668.2**
Net interest paid		(71.0)	(240.0)	(308.2)	(285.7)
Tax Paid		(64.0)	(89.9)	(156.4)	(197.5)
Net Operating Cash Flows		**549.0**	**795.3**	**1,033.3**	**1,184.9**
Investing Cash Flows					
Purchase of PP&E		(293.0)	(286.5)	(399.3)	(450.9)
Other Investing Cashflows		35.0	(851.0)	0.0	0.0
Total Investing CashFlow		**(258.0)**	**(1,137.5)**	**(399.3)**	**(450.9)**

Source: Company data, E&P estimates

Share Price:	AUD133.15

Year end	Dec	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(11.0)	835.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(515.0)	(448.0)	(200.0)	0.0
Total Financing Cash Flow		**(577.0)**	**379.0**	**(200.0)**	**0.0**
Net Change in Cash		(286.0)	36.8	434.0	734.1
Free Cashflow		256.0	508.8	634.0	734.1
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		573.9	725.7	943.8	1,118.5
Cash Flow Per Share (cents/share)		290.9	611.6	770.8	881.8
Book Value ($/sh)		722.7	943.3	1,557.5	2,561.3
NTA Per Share ($/sh)		(3,260.2)	(4,152.6)	(3,591.5)	(2,538.8)
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		39.1	41.4	43.9	45.9
EBIT Margin (%)		27.8	30.4	33.9	36.1
Net Profit Margin (%)		15.8	17.9	21.2	23.7
Capital Employed		4,036.0	4,952.6	5,012.8	5,122.6
Return on Capital Employed (%)		22.2	22.8	24.9	27.9
EBITDA/Capital Employed (%)		31.2	31.1	32.3	35.5
ROE %		**72.1**	**85.0**	**75.2**	**54.6**
Net Debt/Equity (%)		559.4	555.0	306.1	149.5
Net Debt/Net Debt & Equity (%)		84.8	84.7	75.4	59.9
Net Debt/EBITDA (x)		2.9	3.1	2.4	1.8
Net Interest Cover (x)		3.0	3.3	4.0	5.0
GOCF/EBITDA (%)		0.9	0.9	0.9	0.9
Total Capex/Sales (%)		9.2	8.5	10.9	11.5
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		109.1	92.0	83.1	77.7
EV/EBITDA (x)		12.3	11.1	9.3	7.9

BLENDED VALUATION		
Valuation - DCF	247.00	0.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	247.00	1.0%
Valuation - SOTP	0.00	
Valuation	AUD247.00	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

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Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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Security	Nature of relationship
ACL	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
BOT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
AOV	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
CD1	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund I (CD1) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD1. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CD2	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund II (CD2) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD2. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CD3	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund III (CD3) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD3. Each individual receives remuneration from E&P and/or its

	related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CGHE	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
CVB	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CGUN	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
DGT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
DN1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EBR	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EXP	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security. E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has previously provided advisory services to the company.
GCI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
IFM	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
IMU	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager and Joint Bookrunner to an offering of securities of the company or its affiliates, for which it will receive a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
MQG	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MXT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MRE	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
OFX	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
PGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
PYC	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
QRI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
RF1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
WMX	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.

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I, Sam Bradshaw and Paul D Mason, hereby certify that all views expressed in this publication reflect my personal views about the subject theme and/or relevant company securities, and no attempt has been made by any other person to influence the views or themes contained within; and I am not in receipt of inside information and this publication does not contain any inside information. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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